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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)
(TRIMESTER – IV) END TERM EXAMINATION, SEPTEMBER - 2022
SUPPLY CHAIN MANAGEMENT

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

- (a) What are the factors responsible for supply chain revolution?.
- (b) What are various flows in value chain?
- (c) What are the three levels of customer accommodation?
- (d) How can you differentiate between Fill Rate and Stock out?
- (e) Elaborate the function of third party logistics service provider.
- (f) On what factors vendor rating can be done?
- (g) Discuss in short various transport participants.
- (h) How can consolidation and break bulk reduce transportation cost?
- (i) Differentiate between internal integration and external integration. Why external integration is difficult?
- (j) What are the technologies for Effective Supply Chain Management Collaboration and Coordination Systems?

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2. (a) ABC company is following anticipatory business model and XYZ Company is following responsive business model. What are the challenges before them? What are the benefits in responsive business model?

OR

(b) Do you agree that Direct-Structured logistics is more prevalent today as compared to Echelon-Structured logistics.

Q.3. (a) Why do you think Wal-Mart owns a fleet of trucks though most retailers not?

OR

(b) Are there economies of scale in purchasing? Should a firm with multi plants operations centralize its purchasing?

Q.4. (a) A XYZ company wants to adopt the two postponement strategies. What roles the warehouse operators play in so that the company can implement its strategies..

OR

(b) A company is examining two choices for moving its goods from the plant to its depot in eastern India: truck and rail. The company is planning to ship 2,000 units per month. The transportation charges for the shipment by rail is Rs. 40,000 and by road is Rs. 60,000 for the whole lot of 2000 units. The transport lead time in days for rail is 12 days and for road is 4 days. The cost of product is Rs. 500 per unit. Assume the inventory carrying cost to be 20 percent. Which mode of transport should the company choose?

Q.5. (a) Discuss the Information Technology applications in supply chain collaboration and coordination. What are the major differences between ERP and ERP-II?

OR

(b) A large retailer experiences an average annual demand of 4000 units for one of the items. The item is purchased at Rs. 40 per piece. The inventory carrying cost is 10%. The ordering cost for the retailer is estimated to be Rs. 500 per order. Calculate the optimum ordered quantity.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

Case Study: Subhiksha

The retail sector is booming in India and so is pharma retailing. Health care is predicted to record the highest growth rate among all spending categories in the next two decades. This has prompted many retail chain companies to join the fray. Subhiksha, a Chennai-based retail chain, does just this. It sells drugs across all its outlets in the country at a 10 per cent discount. Currently, Subhiksha sells drugs worth Rs 40 million in Mumbai alone.

Recently, there were reports that Subhiksha has sent legal notices to drug wholesalers in Mumbai for withholding supplies. The wholesalers have boycotted Subhiksha on the grounds that it is indulging in an unethical price war by offering a discount. This strategy adopted by Subhiksha has affected the business of standalone retail and wholesale groups.

The prevalent fear is that in the days to come Subhiksha will stop dealing with wholesalers completely. Instead, it will deal directly with the companies. Many industry experts feel that this is not justified. The competition should be on value addition and not on the price.

How does Subhiksha manage its activities so as to be able to offer this discount to all its customers? Also, if the motive is to serve the end-customer, then what prompts the wholesalers to refuse supplies to Subhiksha, the largest pharma retailer in the country?

6 (a) What are the difficulties of achieving better integration and coordination within the chain?

6 (b) Suggest an approach to help firms in working towards achieving better coordination across chains.